

Japan Semiconductors

Disco Corp

Rating

Outperform

Price Target

6146.JP

99,000 JPY (85,000 OLD)



David Dai, CFA
+852 2918 5704
david.dai@bernsteinsg.com



Juho Hwang
+81 3 6777 6980
juho.hwang@bernsteinsg.com



Jack Lin
+852 2123 2683
jack.lin@bernsteinsg.com

DISCO 1Q27/3: Silicon Photonics emerges as new growth driver; lifting PT to ¥99,000

DISCO Q2 shipment guidance was strong with continued strength in HBM, as well as a new growth driver in Silicon Photonics. We reiterate our Outperform rating.

Strong Q2 shipment guidance. DISCO's 1Q FY26/3 shipment of ¥135.9bn (+12% QoQ) was slightly lower than expected from prelim due to some prototype equipments for R&D being recognized at parent level but not on consolidated basis. Q2 guidance shipment of ¥141bn (+4% QoQ) was above consensus of ¥131.1bn. **By application**, memory was in-line with guidance at 35% of shipment in Q1, and company expects memory strength to continue into Q2, with HBM driving the strength. OSAT in Q1 was stronger with 35% of total, vs. guidance of 30%, although Q2 was guided to decline, as the strong investment from China OSAT comes down.

Silicon Photonics (SiPh) emerges as one new growth drivers. While still smaller than HBM or CoWoS, SiPh is growing into Q2, and revenue could come from multiple streams: D2W hybrid bonding, laser semi, optical module/transceivers. **On manufacturing support**, while company continued to refuse to quantify how much of shipment it translates into, they expect the scheme to continue for the foreseeable future, likely with a similar scale as the currently dispatched ~100 personnel. **Margins improving for consumables.** Q1 GPM was 71.3% (vs. guidance ~69%), and OPM was 42.9% (vs. guidance 39.6%). Q2 GPM was guided to be -1%pt QoQ, likely due to the usual conservatism. Conversely, IR seemed to expect the improvement in consumables margin to continue into Q2. SG&A was guided to be slightly higher than ¥34bn, with OPM of 43.5% (vs. consensus 45.7%).

Outperform. We reflect Q1 earnings as well as Q2 guidance, and raise FY27 / FY28 revenue by 2.7% / 8.6% and bottom line by 5.6%/9.9%, to reflect improved overall semi market growth outlook as well as new drivers such as D2W hybrid bonding, V10 NAND and SiPh kicking in. Keeping the same 40x P/E multiple, we raise our TP to ¥99,000, with 43% upside. Maintain Outperform.

Investment Implications

We rate DISCO Outperform (PT ¥99,000), download DISCO model [here](#).

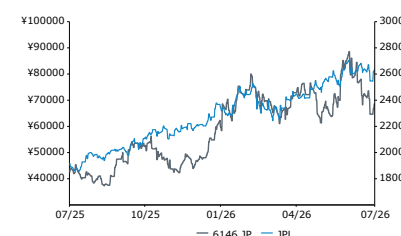
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
6146.JP (JPY)	1,245.79	1,830.28	2,336.94	Revenues (M)	436,887	578,525	727,187	--	Reported P/E (x)	55.7	37.9	29.7
OLD	--	1,733.62	2,127.33									

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	23 Jul 2026
6146.JP Close Price (JPY)	69,410
Price Target (JPY)	99,000
Upside/(Downside)	43%
52-Week Range	91,680/37,260
JPL	2,632.09
FYE	Mar
Div Yield	0.8%
Market Cap (JPY) (B)	7,529.86
EV (JPY) (B)	7,246.32
Performance	YTD 1M 6M 12M
Absolute (%)	44.1 (16.2) 2.1 62.9
JPL (%)	19.3 0.2 12.2 39.7
Relative (%)	24.8 (16.4) (10.1) 23.2

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

EXHIBIT 1: DISCO 1Q27 Summary

DISCO Q1 FY27/3 results		Actual	Delta			Growth YoY	
		Q1 FY27/3	vs. Bernstein	vs. Guidance	vs. Cons.	Actual	Cons.
Revenue	Actual	114.3	-1.1%	7.7%	1.1%	27.1%	25.8%
	Guidance	106.1					
	Bernstein	115.6					
	Consensus	113.1					
Shipment	Actual	135.9	1.2%	16.3%	0.5%	22.3%	21.7%
	Guidance	116.9					
	Bernstein	134.4					
	Consensus	135.3					
Gross profit	Actual	81.5	-0.7%	11.5%	2.3%	33.1%	30.1%
	Guidance	73.2					
	Bernstein	82.1					
	Consensus	79.7					
Gross margin	Actual	71.3%	0.3%	2.4%	0.9%	3.2%	2.3%
	Guidance	68.9%					
	Bernstein	71.1%					
	Consensus	70.5%					
Operating profit	Actual	49.0	-2.5%	16.7%	0.9%	42.2%	40.9%
	Guidance	42.0					
	Bernstein	50.3					
	Consensus	48.6					
Operating margin	Actual	42.9%	-0.6%	3.3%	-0.1%	4.5%	4.6%
	Guidance	39.6%					
	Bernstein	43.5%					
	Consensus	43.0%					
Net profit	Actual	34.2	-7.0%	16.0%	-3.9%	44.0%	49.8%
	Guidance	29.5					
	Bernstein	36.8					
	Consensus	35.6					
Earnings per share	Actual	314.57	-7.0%		-0.2%	43.9%	44.3%
	Bernstein	338.33					
	Consensus	315.31					

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: DISCO 1Q27 Segment summary

Results Breakdown	Actual	Growth	Bernstein	Delta	Consensus	Delta
	Q1 FY27/3	YoY	Q1 FY27/3		Q1 FY27/3	
Total revenue	114.3	27.1%	115.6	-1.1%	113.1	1.1%
Precision processing equipment	67.4	23.0%	67.5	0.0%	70.2	-3.9%
Consumables	27.4	32.7%	27.8	-1.4%	25.9	6.0%
Maintenance parts	13.7	38.7%	13.6	0.6%	11.9	15.7%
Total shipment	135.9	22.3%	134.4	1.2%	135.3	0.5%

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 3: DISCO Q1: Summary of Q2 guidance

Guidance Breakdown	Guidance	Bernstein	Delta	Consensus	Delta
	Q2 FY27/3E	Q2 FY27/3E		Q2 FY27/3E	
(USD/JPY=¥159)					
Revenue	128.5	155.1	-17.2%	136.1	-5.6%
Shipment	141.0	134.6	4.8%	131.1	7.5%
Gross profit margin	70.3%	71.2%	-1.2%	70.9%	-0.9%
Operating profit	55.9	73.0	-23.5%	62.2	-10.1%

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

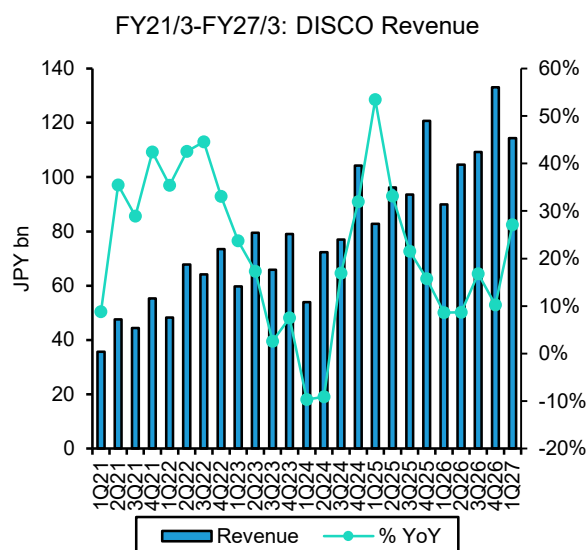
EXHIBIT 4: DISCO Q127: Summary of estimate changes

DISCO: summary of estimate changes	FY26/3	1Q27	2Q27E	3Q27E	4Q27E	FY27/3E	FY28/3E	FY29/3E
Revenue (JPY bn)								
Bernstein - Old	436.9	115.6	155.1	125.5	167.0	563.1	669.6	782.2
Growth YoY	11.1%	28.5%	48.3%	14.8%	25.5%	28.9%	18.9%	16.8%
Bernstein - New	436.9	114.3	154.2	136.6	173.4	578.5	727.2	874.9
Growth YoY	11.1%	27.1%	47.4%	25.0%	30.3%	32.4%	25.7%	20.3%
Consensus		136.1	135.3	159.8	544.2	633.7	715.7	
Growth YoY			30.1%	23.8%	20.1%	24.6%	16.4%	12.9%
New vs. old			-0.6%	8.9%	3.9%	2.7%	8.6%	11.8%
Bernstein vs. consensus			13.3%	1.0%	8.5%	6.3%	14.8%	22.2%
Operating profit (JPY bn)								
Bernstein - Old	185.0	50.3	73.0	56.7	77.6	257.6	316.2	377.8
Growth YoY	10.9%	45.8%	64.5%	19.8%	32.0%	39.3%	22.7%	19.5%
Margin	42.3%	43.5%	47.1%	45.2%	46.5%	45.8%	47.2%	48.3%
Bernstein - New	185.0	49.0	75.0	62.7	85.5	272.4	345.2	425.7
Growth YoY	10.9%	42.2%	69.1%	32.6%	45.5%	47.2%	26.7%	23.3%
Margin	42.3%	42.9%	48.7%	45.9%	49.3%	47.1%	47.5%	48.7%
Consensus			62.2	61.5	75.4	246.4	298.4	345.5
Growth YoY			40.1%	30.0%	28.3%	33.2%	21.1%	15.8%
Margin			45.7%	45.5%	47.2%	45.3%	47.1%	48.3%
New vs. old			2.8%	10.6%	10.2%	5.7%	9.2%	12.7%
Bernstein vs. consensus			20.7%	2.0%	13.5%	10.5%	15.7%	23.2%
EPS (JPY)								
Bernstein - Old	1,246.3	338.3	491.4	381.7	522.2	1,733.6	2,127.3	2,542.0
Growth YoY	11.3%	211.1%	351.8%	250.9%	380.1%	39.1%	22.7%	19.5%
Bernstein - New	1,245.8	314.6	505.0	422.2	575.6	1,830.3	2,336.9	2,881.5
Growth YoY	9.4%	43.9%	70.9%	25.1%	46.0%	46.9%	27.7%	23.3%
Consensus			435.0	421.1	531.1	1,694.0	2,027.2	2,351.6
Growth YoY			47.2%	24.7%	34.7%	36.0%	19.7%	16.0%
New vs. old			2.8%	10.6%	10.2%	5.6%	9.9%	13.4%
Bernstein vs. consensus			16.1%	0.3%	8.4%	8.0%	15.3%	22.5%

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

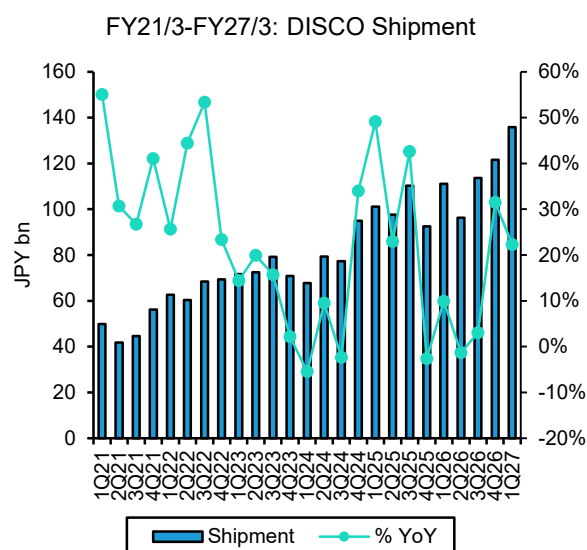
Q1 FY27/3 EARNINGS SUMMARY IN CHARTS

EXHIBIT 5: DISCO Q1 revenue was ¥114bn, +27% yoy



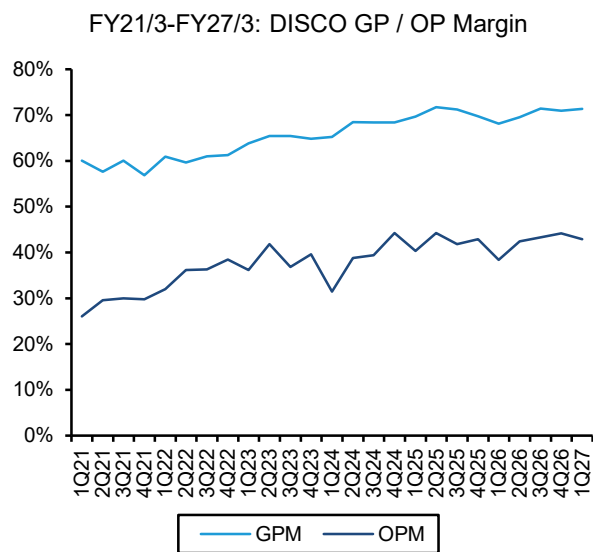
Source: Company disclosures, Bernstein analysis.

EXHIBIT 6: DISCO Q1 shipment was ¥136bn, +22% yoy



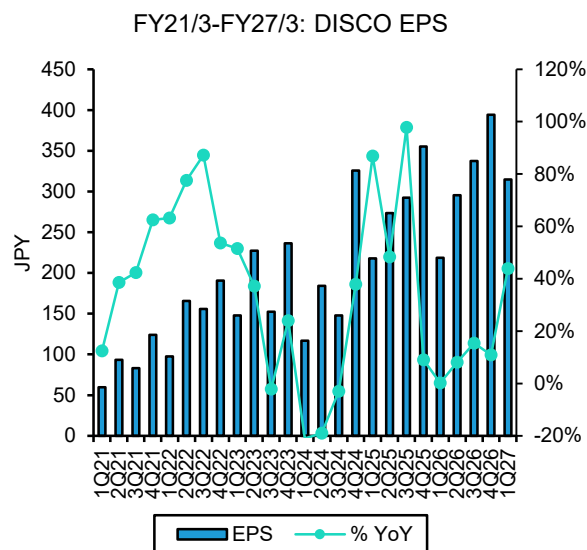
Source: Company disclosures, Bernstein analysis.

EXHIBIT 7: **DISCO's Q1 GP / OP margin was 71.3% / 42.9%, +0.4% / -1.3% qoq**



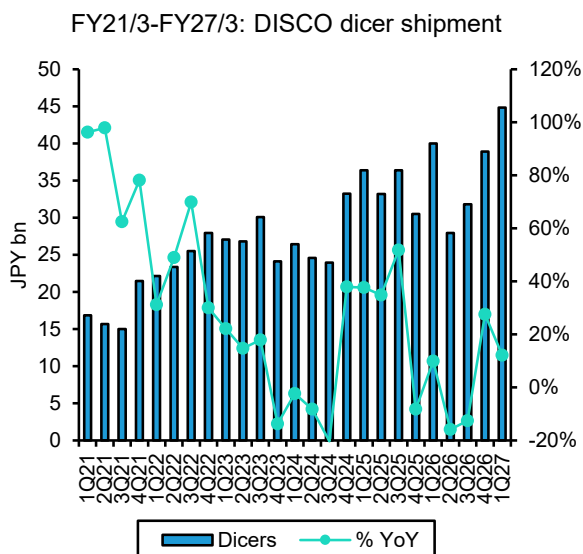
Source: Company disclosures, Bernstein analysis.

EXHIBIT 8: **DISCO's Q1 EPS was ¥314.57, +44% yoy**



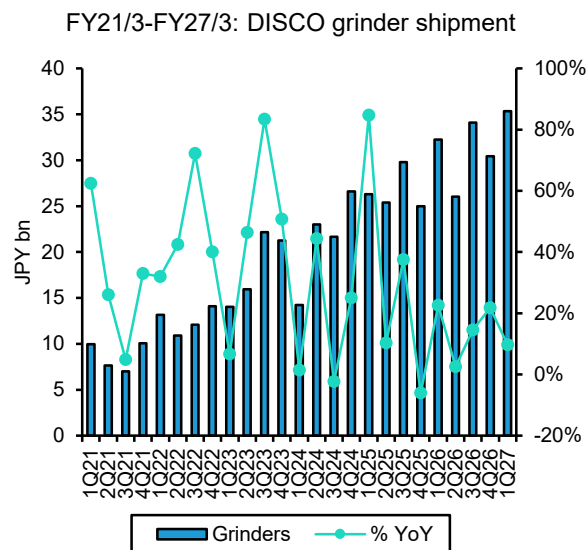
Source: Company disclosures, Bernstein analysis.

EXHIBIT 9: **DISCO's Q1 shipment for dicers was ¥45bn, +12% yoy**



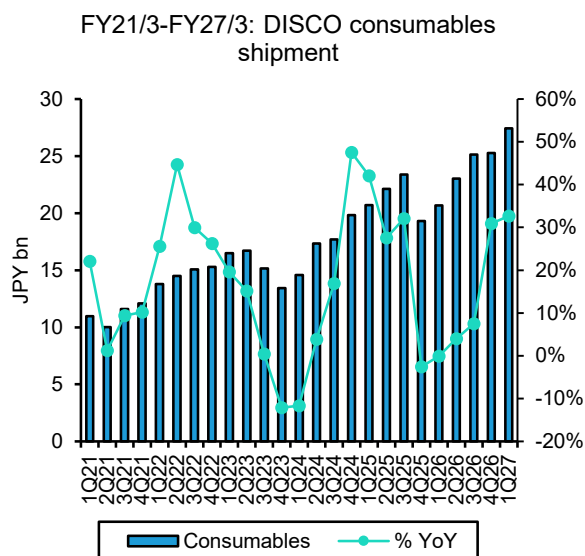
Source: Company disclosures, Bernstein analysis.

EXHIBIT 10: **DISCO's Q1 shipment for grinders was ¥35bn, +10% yoy**



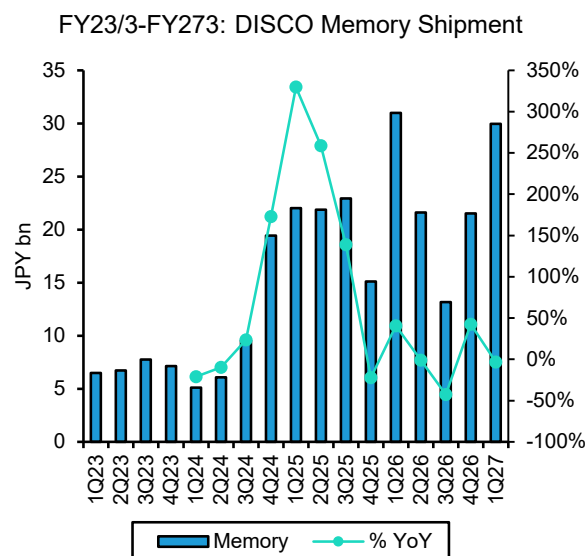
Source: Company disclosures, Bernstein analysis.

EXHIBIT 11: DISCO's Q1 consumables shipment was ¥27bn, +33% yoy



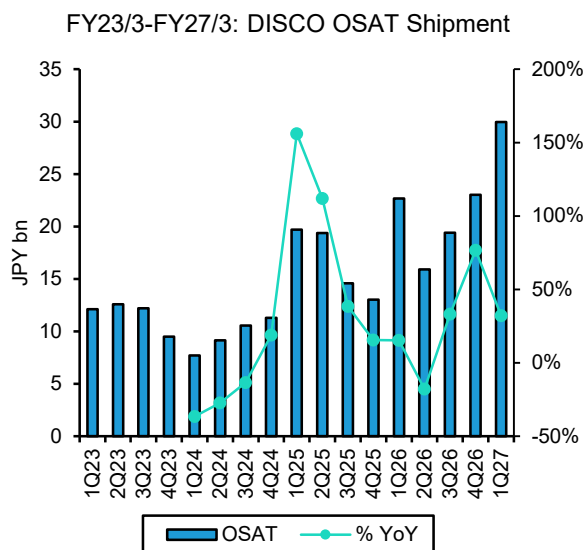
Source: Company disclosures, Bernstein analysis.

EXHIBIT 12: DISCO's Q1 memory shipment was ¥30bn, -3% yoy



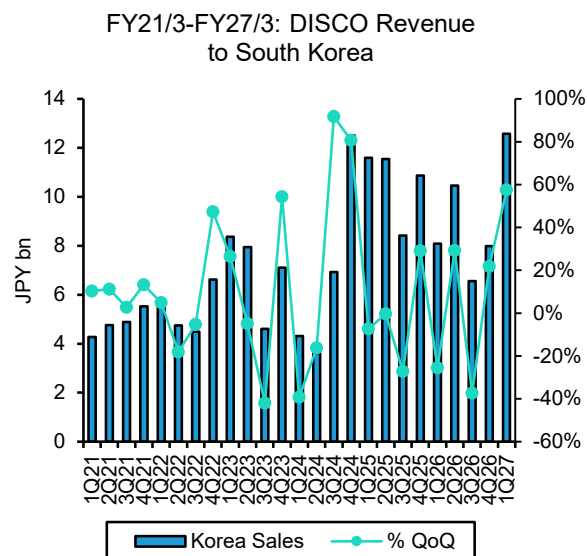
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 13: DISCO's Q1 OSAT shipment was ¥30bn, +32% yoy



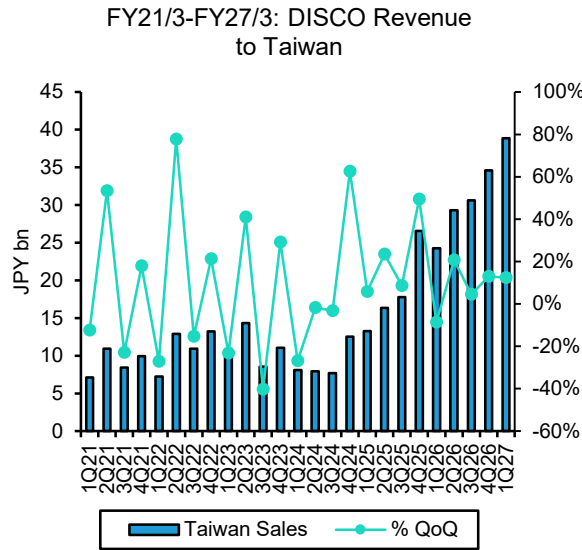
Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 14: DISCO's Q1 sales to South Korea was ¥12.6bn, +57% QoQ



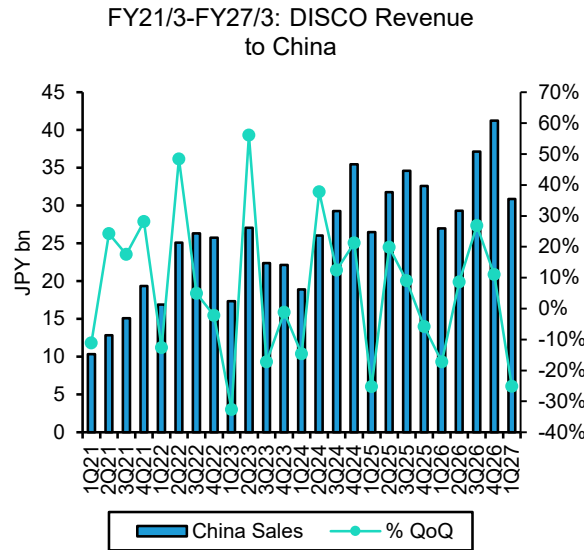
Source: Company disclosures, Bernstein analysis.

EXHIBIT 15: **DISCO's Q1 sales to Taiwan was ¥39bn, +12% QoQ**



Source: Company disclosures, Bernstein analysis.

EXHIBIT 16: **DISCO's Q1 sales to China was ¥31bn, -25% QoQ**



Source: Company disclosures, Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 17: DISCO: Income Statement

JPY bn	FY26/3	1Q27	2Q27E	3Q27E	4Q27E	FY27/3E	FY28/3E	FY29/3E
Revenue	436.9	114.3	154.2	136.6	173.4	578.5	727.2	874.9
Gross profit	306.5	81.5	109.9	97.7	123.7	412.8	523.3	631.3
SG&A	121.5	23.1	26.2	26.0	27.7	103.1	134.5	157.5
R&D	34.2	9.4	8.7	9.0	10.4	37.4	43.6	48.1
Other opex	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Operating profit	185.0	49.0	75.0	62.7	85.5	272.4	345.2	425.7
D&A	14.8	4.0	3.9	4.1	4.3	16.3	22.5	27.1
EBITDA	199.8	53.0	78.9	66.8	89.9	288.7	367.7	452.8
Non-operating income	-0.1	-0.6	0.5	0.4	0.5	0.8	2.2	2.6
Ordinary Income	184.9	48.4	75.5	63.2	86.1	273.2	347.4	428.3
Extraordinary income	-1.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Pretax Income	183.8	48.4	75.0	62.7	85.5	273.1	347.4	428.3
Income tax expense	48.2	14.1	20.1	16.8	22.9	74.0	93.1	114.8
Net income before minority interest	135.6	34.3	54.9	45.9	62.6	199.2	254.2	313.5
Net Income	135.5	34.2	54.9	45.9	62.6	199.1	254.2	313.5
Diluted EPS (JPY)	1,245.8	314.6	505.0	422.2	575.6	1,830.3	2,336.9	2,881.5
Margins								
Gross profit	70.2%	71.3%	71.3%	71.5%	71.3%	71.4%	72.0%	72.2%
Operating profit	42.3%	42.9%	48.7%	45.9%	49.3%	47.1%	47.5%	48.7%
EBITDA	45.7%	46.4%	51.2%	48.9%	51.8%	49.9%	50.6%	51.8%
Profit before tax	42.3%	42.4%	49.0%	46.2%	49.6%	47.2%	47.8%	49.0%
Net income	31.0%	29.9%	35.6%	33.6%	36.1%	34.4%	35.0%	35.8%
Growth YoY								
Revenue	11.1%	27.1%	47.4%	25.0%	30.3%	32.4%	25.7%	20.3%
Gross profit	10.4%	33.1%	51.1%	25.1%	31.0%	34.7%	26.8%	20.6%
Operating profit	10.9%	42.2%	69.1%	32.6%	45.5%	47.2%	26.7%	23.3%
EBITDA	11.6%	39.9%	64.5%	30.6%	43.2%	44.5%	27.4%	23.1%
Profit before tax	9.3%	43.9%	67.1%	34.1%	46.4%	48.6%	27.2%	23.3%
Net income	9.4%	44.0%	70.9%	25.1%	46.0%	46.9%	27.7%	23.3%

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 18: DISCO: Balance Sheet

JPY bn	FY22/3	FY23/3	FY24/3	FY25/3	FY26/3	FY27/3E	FY28/3E	FY29/3E
Cash and cash equivalents	125.8	163.1	215.5	229.2	284.6	370.7	468.6	600.5
Accounts receivable	38.7	41.4	46.8	43.2	57.5	79.3	99.6	119.8
Inventories	68.5	91.4	115.0	139.0	141.3	158.9	195.5	233.6
Other current assets	12.0	9.3	9.7	13.2	11.2	11.2	11.2	11.2
Total current assets	244.9	305.1	386.9	424.5	494.6	620.0	774.9	965.2
Property, plant and equipment, net	144.4	147.5	147.5	204.0	223.2	236.5	257.6	283.0
Long-term investments	15.2	16.1	21.7	25.6	25.6	25.6	25.6	25.6
Other non-current assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total assets	404.5	468.8	556.1	654.1	743.4	882.1	1,058.1	1,273.7
Accounts payable and accrued expenses	48.9	43.1	36.2	30.9	22.9	29.1	35.9	42.8
Other current liabilities	61.0	76.9	112.5	129.5	131.5	129.5	129.5	129.5
Total current liabilities	109.9	120.0	148.7	160.4	154.5	158.7	165.4	172.4
Other non-current liabilities	0.9	0.8	0.8	1.0	0.8	0.8	0.8	0.8
Total liabilities	110.7	120.8	149.5	161.4	155.3	159.5	166.2	173.2
Shareholders' equity	293.8	348.0	406.6	492.7	588.1	720.7	889.9	1,098.5
Total liabilities & shareholders' equity	404.5	468.8	556.1	654.1	743.4	880.2	1,056.1	1,271.7

Source: Company disclosures, Bernstein estimates and analysis.

EXHIBIT 19: **DISCO: Cash Flow Statement**

JPY bn	FY22/3	FY23/3	FY24/3	FY25/3	FY26/3	FY27/3E	FY28/3E	FY29/3E
Net Income	66.2	82.9	84.2	123.9	135.5	199.1	254.2	313.5
D&A	8.6	10.4	11.0	12.2	14.8	16.3	22.5	27.1
Changes in working capital	-4.3	-31.4	-35.9	-25.7	-24.6	-33.1	-50.3	-51.3
Other adjustments	13.2	19.9	38.2	10.0	7.8	0.0	0.0	0.0
Cash flow from operations	83.7	81.8	97.5	120.4	133.5	182.3	226.5	289.2
Capex	-45.6	-15.0	-16.5	-69.8	-32.7	-29.6	-43.6	-52.5
Other	2.0	1.9	0.1	1.8	-3.1	0.0	0.0	0.0
Cash flow from investments	-43.6	-13.1	-16.4	-68.0	-35.8	-29.6	-43.6	-52.5
Cash flow from financing	-27.2	-32.1	-30.9	-38.2	-45.0	-66.6	-85.0	-104.8
Net effect of exchange rate changes	3.1	0.7	2.2	-0.5	2.7	0.0	0.0	0.0
Net change in cash	16.0	37.3	52.4	13.7	55.4	86.1	97.9	131.9

Source: Company disclosures, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	23 Jul 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
6146.JP (DISCO)	O	JPY	69,410	99,000	23.2%	JPY	1,245.79	1,830.28	2,336.94	55.7	37.9	29.7
OLD				85,000				1,733.62	2,127.33			
JPL			2,632.09									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Disco Corp**

We set a price target of ¥99,000 using a P/E multiple of 40x against our forward Q5-Q8 EPS estimate.

RISKS**Disco Corp**

There are a number of downside risks to our DISCO target price: (1) Overcapacity of AI-related production such as GPUs and HBM resulting in both multiple contraction and earning power (2) Changes in competitive environment (3) Unfavorable exchange rate fluctuation with downside risk to its revenue.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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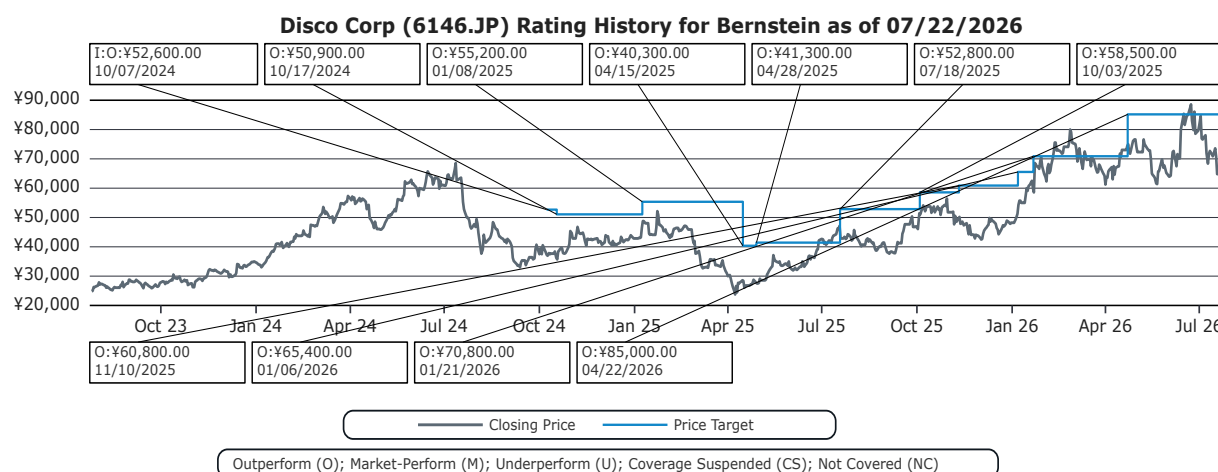
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